

more tedious aspects of budgeting, but it's where you have the most potential for budget leaks.

Tracking Small Expenditures

You may think you know where your money goes, but most people are more than a little surprised when they really start tracking their expenses. Small cash expenditures can add up to significant sums of money by month's end. That daily cup of coffee is probably costing you almost \$600 per year. Three six-packs of beer a week add up to at least \$600 per year. If you smoke two packs of cigarettes a day, it's probably costing you over \$280 a month, \$3,360 per year, or \$33,600 in ten years—and that's if you discount the impact of inflation!



ESSENTIAL

An important part of budgeting is coming up with concrete ways to cut costs. Setting a spending limit with no thought about how to reduce expenses will be an exercise in frustration as you review your failures monthly. Come up with innovative ways to put money in your own pocket.

Finding Ways to Reduce Spending

After a month or two of tracking your actual spending, you'll begin to see a pattern, and will be better able to identify where you can comfortably make adjustments to start saving money. Consider this a process of self-discovery. You can start with an in-depth look at your largest spending categories if you prefer, but don't overlook the smaller categories. Sometimes these are the easiest to make cuts in because the spending may be more discretionary, and small amounts can add up quickly.